

pay-as-you-go subscription model for those who require AI integration into their own applications. While OpenAI charges \$2.5 for 1 million input tokens (units of data processed by the AI model), DeepSeek is currently charging only \$0.014 for the use of its application programming interface (API). Companies have started using DeepSeek as it is open source and affordable.

Speaking to the media on the sidelines of a conference for venture capitalists, Hemanth Mandapati, co-founder of German startup Novo AI said, “If you have built your application using OpenAI, you can easily migrate to the other ones... it took us minutes to switch. There was an offer from DeepSeek which was five times lower than their actual prices. I am saving a lot of money and users don’t see any kind of a difference.”

DeepSeek’s code is released under the open source MIT License, a permissive software license that allows users to use, modify and distribute software. The model itself is protected by a custom open source license adapted from the OpenRAIL license. The license aims to promote adaptability by focusing on model parameters and weights rather than code; encourages sharing, utilisation, and distribution of open source achievements; and advocates the adoption of behavioural-use restrictions to mitigate the risks associated with AI technology.

DeepSeek permits its AI models to be used for any lawful purpose, prohibiting its use for illegal or hazardous activities. Developers can develop derivative models and

“I’VE BEEN READING ABOUT CHINA AND SOME OF THE COMPANIES IN CHINA, ONE IN PARTICULAR COMING UP WITH A FASTER METHOD OF AI AND MUCH LESS EXPENSIVE METHOD, AND THAT’S GOOD BECAUSE YOU DON’T HAVE TO SPEND AS MUCH MONEY. I VIEW THAT AS A POSITIVE BECAUSE YOU’LL BE DOING THAT TOO, SO YOU WON’T BE SPENDING AS MUCH, AND YOU’LL GET THE SAME RESULT, HOPEFULLY. THE RELEASE OF DEEPSEEK AI FROM A CHINESE COMPANY SHOULD BE A WAKEUP CALL FOR OUR INDUSTRIES THAT WE NEED TO BE LASER-FOCUSED ON COMPETING TO WIN.”



— **AMERICAN PRESIDENT DONALD TRUMP**

product applications or generate content based on DeepSeek open source models, and the company will not seek any share in the profits begotten using it. Unlike copyleft licenses like GPL, which require the open sourcing of derivative works, DeepSeek lets developers decide whether they wish to open source their derivative models or not. They have the flexibility to choose from different licenses that do not conflict with the original one, especially concerning lawful use. Some copyright notice requirements need to be complied with.

A bolt from the blue

DeepSeek was incorporated two years ago, but no one paid much attention. After all, who expected a small company from a country without access to Nvidia’s powerhouse H100s to develop an AI model rivalling the famed ChatGPT? If anything, such a breakthrough was more likely to come from China’s tech giants—Baidu, Alibaba, Tencent, or Xiaomi.

And yet, one day, DeepSeek arrived and upended an industry that had long equated AI dominance with sheer hardware power. Its models are not flawless. They may sidestep controversial topics on China, offer different answers under pressure, or struggle with perfect English. They might even miss some questions entirely. But DeepSeek has made one thing clear—the future of AI is not just about size and cost. It is about intelligence.

This revelation jolted investors worldwide. Nvidia’s stock plunged 17%, wiping out nearly \$1 trillion from the US stock market. The shock rippled across global markets, amplifying growing concerns that companies were pouring too much capital and energy into AI.

DeepSeek-R1 arrived with a bang, sparking reactions from all sides. Some celebrated it as a step toward AI democratisation, while others questioned its claims—or outright condemned its methods as illegal. Concerns over privacy and security led many companies and government offices to restrict its use. Yet, one thing has become clear: a paradigm shift is underway.

The stock market nosedive was likely a knee-jerk reaction, one that will soon correct itself—AI is anything but a stagnant industry. In fact, as of this writing, European AI

“I WAS EXTREMELY SCEPTICAL OF THE COST NUMBER. IT WAS LIKE, THERE ARE SOME ZEROS MISSING. BUT, YEAH, IT’S A GOOD MODEL, AND WE’LL NEED TO MAKE BETTER MODELS, WHICH WE WILL DO.”

— **SAM ALTMAN, CEO, OPENAI**

